QNN RESEARCH #02 • STARKNET • OCTOBER 17, 2026

A Foundation on Bones

Starknet and STRK: tokens, unlocks, BTCFi, privacy, quantum safety — and what actually moves the price

Not financial advice • data as of Oct 17, 2026 • background: NASA, ESA, CSA, STScI (Webb)

The key points

$0.072
STRK price. That’s –98% from the $4.41 peak (Feb 2024)

$546M
market cap. Fully diluted (all 10B) — ~$720M

127M
STRK unlocked every month — 6 more times, until Mar 15, 2027

1. The network is fast and cheap but earns little: ~$18K in fees a day.
2. BTCFi deflated once rewards ended: DeFi money halved, staked BTC fell 66%.
3. October’s 3× rally came from the news about moving to L1 for quantum safety, not from network numbers.
4. The big plus ahead: scheduled unlocks end after March 2027.

Sources: DefiLlama, CoinGecko, Tokenomist, Starknet forum • Oct 17, 2026

Explain like I’m five: a fast toll road

Imagine an express highway built over a jammed city (Ethereum) — that’s Starknet. STRK are the tickets of the company that built it.

The road is great

~310K trips a day, fast and nearly free

But the till is almost empty

Tolls are tiny: the whole road collects ~$18K a day

Tickets keep getting printed

127M new tickets come out every month — until March 2027

Planning its “own country”

They want to become a separate blockchain (L1) safe from quantum computers

So: STRK’s price is a bet on the road’s future, not on what it earns today.

What could lift the price, and what could sink it

COULD RISE IF…

- the L1 move and quantum safety become real by 2027
- unlocks stop after March 2027 and selling pressure drops
- private STRK20 payments and strkBTC attract real money
- alt season starts: STRK tends to move harder than the market

COULD FALL IF…

- the market can’t absorb another 762M STRK before March 2027
- the L1 move turns out slow, messy, or doesn’t happen
- the foundation starts selling reserves (~1.6B STRK, no fixed schedule)
- the hype fades: October’s rally ran on news and leverage

Not a forecast, just a list of drivers. The whole crypto market matters too

The Starknet team: who they are and where they came from



Eli Ben-Sasson

Co-founder, CEO

X: @EliBenSasson ↗

PhD Hebrew University, MIT postdoc, Technion professor 2010–18. Zcash founding scientist, STARK co-inventor



Tom Brand

Starknet General Manager

X: not found

Former StarkWare head of product. Since April 2026 runs all Starknet development

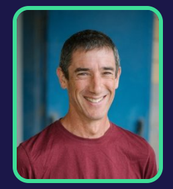


Avihu Levy

Applications General Manager

X: @avihu28 ↗

Technion (electronics, physics). NSO Group researcher, CTO of AlgoREIT, 6+ years of military R&D. At StarkWare since 2017



Gideon Kaempfer

Chief Architect

X: not found

VP Engineering since 2017: Starknet and the STARK prover. 25+ years in startups as CEO, CTO, chief architect



Lior Goldberg

CTO

X: not found

Co-author of the Cairo paper — the language and machine Starknet runs on. One of StarkWare's early engineers



Ran Grinshtein

CFO

X: not found

StarkWare finance; since 2026 also people, security and IT



Alessandro Chiesa

Co-founder, scientific advisor

X: not found

MIT PhD, UC Berkeley professor 2015–23, now EPFL. Zerocash co-inventor, Zcash co-founder. MIT TR 35 Under 35



Uri Kolodny

Co-founder, board member

X: @ukolodny ↗

CEO 2018–2024. MIT Sloan MBA, co-founded OmniGuide, Timna, Mondria. Stepped down as CEO for family health reasons

Michael Riabzev

Co-founder

X: not found

Technion BSc and PhD under Ben-Sasson — the thesis became zk-STARK. Before: R&D in Israeli intelligence, Intel, IBM

James Strudwick

Exec. Director, Starknet Foundation

X: not found

Joined the Foundation in Jan 2024 as Head of Ecosystem, leads it since Aug 2024. Years in Web3 and DeFi

Damian Chen

VP of Growth, Starknet Foundation

X: not found

The public face of the strkBTC launch in May 2026

Scientific advisors

Avi Wigderson (Turing, Abel), Shafi Goldwasser (Turing), Scott Aaronson, Noam Nisan, Madhu Sudan

COO Oren Katz left in April 2026

Photos: StarkWare (starkware.co/about-us) • "?" — no photo • EPFL, IQ.wiki, Devcon, ForkLog

WHO'S BEHIND IT

Starknet and StarkWare

What it is

A layer-2 network on Ethereum. Batches of transactions are compressed into one STARK proof

Own tech

Cairo language and STARK proofs. Not EVM-compatible — harder for developers to move in

Team

CEO Eli Ben-Sasson — co-inventor of STARKs and a Zcash founding scientist

Funding

~$263M raised, valued at $8B in 2022. Today all of STRK is worth $546M

April 2026

Layoffs and a split into 2 units. The CEO: the company was "too large and inefficient"

Network revenue

Down over 95% from a $6.3M/month peak (November 2023)

Sources: starknet.io, Odaily/KuCoin (StarkWare restructuring, Apr 14, 2026), Tokenomist

STRK over a year: −35%, with a rollercoaster ride



The all-time high was $4.41 in February 2024 — 60× today's price. The scale is logarithmic: equal steps = equal percentages.

Data: CoinGecko, daily prices Oct 18, 2025–Oct 17, 2026 (5-day smoothed)

Who owns the 10B STRK

Who	Share
Early contributors (team)	20.0%
Investors	18.2%
Grants and partners	12.9%
StarkWare	10.8%
Foundation strategic reserve	10.0%
Community (provisions + rebates)	18.0%
Foundation treasury	8.1%
Donations	2.0%

7.59B
already circulating — 75.9%

2.41B
still locked — 24.1%

38% belongs to the team and investors. Their last tokens release by March 2027.

Source: Tokenomist (allocation and unlocks), Oct 17, 2026

Where new STRK comes from

127M
unlocked on the 15th of every month: team + investors

~13M
minted per month for staking rewards (~1.6% a year)

≈ $10M
of new tokens a month at $0.072 — the market has to buy them



6 unlocks left = 762M STRK. Another ~1.65B sit in foundation and StarkWare reserves with no fixed schedule.

Sources: CryptoTicker (unlock schedule), Tokenomist, Starknet forum (staking APR); ~13M and ~1.65B are our estimates

STRK staking: what it really does

1.56B
STRK staked — ~21% of circulation

7.7%
yearly paid to stakers — in newly minted tokens

75 / 25
consensus weight: STRK / BTC

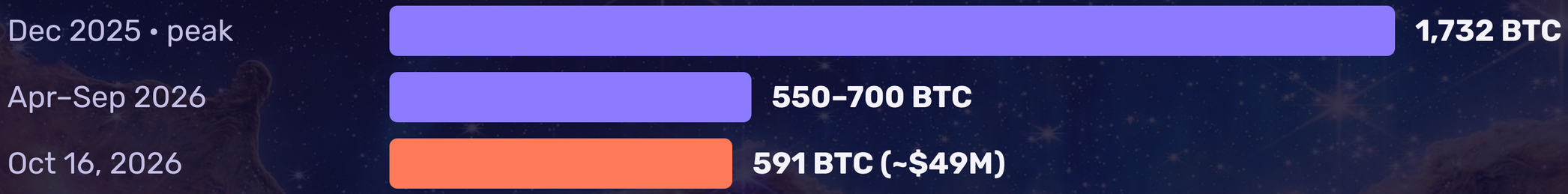
Plus
Part of the supply stays off exchanges. Staking grew 11× in 2025

Minus
Rewards are new issuance. Many stakers sell them right away

Fact
21% staked didn’t stop the price from falling to $0.022 in August

Sources: Starknet forum (data as of Oct 10, 2026), starknet.io/staking, Starknet 2025 review

Bitcoin staking: gone with the rewards



Why they left

The BTCFi rewards program (100M STRK) ended — capital moved to where yields are higher

Yield

~6.4% a year, but paid in STRK. STRK falls — the yield falls

Hidden risk

If STRK hits $1, BTC stakers would earn ~90% a year in new STRK — dilution for everyone

Source: Starknet forum, “floating α” proposal, Oct 15–16, 2026

THE BIG BET OF 2025

BTCFi: what was promised vs what happened

Metric	January 2026	October 2026
DeFi money on Starknet	**$303–350M**	**$160M (–50%)**
Vesu — “the main BTC pool”	~$33M	$11M (–66%)
BTC staked	~1,080–1,790	591
The original research’s end-2026 TVL forecast	$2–10B	now $0.16B

What worked

strkBTC launched (May 12) along with private transfers — the infrastructure is ready

What didn’t

Capital came for rewards and left when they ended — classic farming

Sources: DefiLlama (Oct 17, 2026), the original community research (Jan 2026), The Block

The network today, in numbers

~310K
transactions a day — a 90-day high

~3K
daily active addresses per growthepie (Nansen Q2: ~50K)

~$18K
in fees a day across the whole network

$150M
in stablecoins on the network

$119M
in Extended (a perp exchange) — 74% of all DeFi money

91%
of transactions come from just 2 apps: AVNU and Cartridge

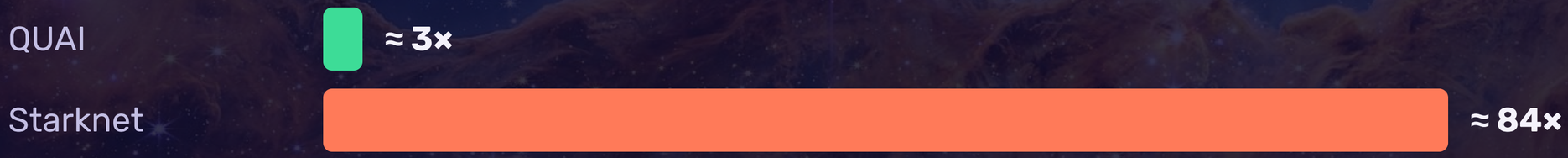
Sources: growthepie and DefiLlama (Oct 16–17, 2026), Nansen (H1 2026 report). Address counters use different methods

What the network is worth vs what it earns

~$6.5M
in fees a year (~$18K × 365)

$546M
STRK market cap

≈ 84×
market cap to yearly fees



Fees aren’t burned and don’t go to STRK holders. So network usage on its own creates almost no demand for the token.

Sources: DefiLlama and growthepie (fees), CoinGecko; QUAI — our Research #01 (SOAP revenue). Simplified math

Starknet among BTCFi projects

Project	Money locked	Token market cap
Babylon (BABY)	$3.35B	$62M
Starknet (STRK)	**$160M**	**$546M**
Mezo (MEZO)	$111M*	—
Stacks (STX)	$93M	$778M
Merlin (MERL)	$6.6M	$57M
Core (CORE)	$3.9M**	$28M

Takeaway

The whole BTCFi sector shrank: L2 sidechain TVL fell 74% in Q1 2026

STRK

Priced above almost every rival, though it holds 20× less money than Babylon

Sources: DefiLlama (Oct 17, 2026), Spark Research (BTCFi 2026). *Mezo — as of Jul 31, 2026. **Core — excludes ~5.5K BTC in staking

HYPE #1

Privacy: shielded pools and strkBTC

STRK20 • June 9, 2026

Any ERC-20 token can be shielded: hidden balances and transfers

Shielded pool

Coins sit in a shared pool as encrypted notes. Every action is checked by a ZK proof

strkBTC • May 12, 2026

Bitcoin with private transfers. The bridge is federated for now — you trust a group of custodians

Viewing keys

On a lawful request an auditor can disclose a specific transaction. Not a mixer — “privacy with accountability”

Cost

4 STRK per shielded action. Amounts going in and out of the pool are visible

Weak spot

No public usage data: no volume, no user counts

Sources: starknet.io (Privacy Is Now Live, Push to Private), The Block, Nansen

HYPE #2

Quantum safety and the move to L1

The threat

A quantum computer could break the ECDSA signatures that protect BTC and ETH. The ECDSA.Fail study cut the estimated resources needed by 86%

What’s already there

STARK proofs are hash-based — considered resistant. Wallets can switch to post-quantum signatures without a fork

The weak link

The bridge and data storage depend on Ethereum, which only plans quantum safety by end of 2029

VOTE: OCT 15–22

99.9% “yes” · 177.6M STRK

“Yes” only starts research. No migration date; the target is 2027

Vote on Snapshot ↗ • Forum thread ↗

Migration risks

A new bridge, its own security instead of Ethereum’s, moving liquidity. That’s years of hard work

Vote: governance.starknet.io (Snapshot, closes Oct 22, 2026 09:32 UTC) • The Block, ForkLog, Unchained

Hype radar: what’s real vs what’s talk

Theme	Status, October 2026	Impact on STRK
Quantum safety / L1	vote, research	strong on headlines
STRK20 privacy	live since June	no data yet
strkBTC	live since May, federated bridge	weak
BTCFi and BTC staking	deflated after rewards	weak
Perp exchanges (Extended)	the network’s top app	indirect
AI agents (Starkzap)	developer tools	narrative for now

Impact ratings are ours, based on the data in the previous slides

Big calls and how they aged

BeInCrypto
article • Nov 20, 2025

“Analysts see a possible move to $2”

Then **$0.28** → now **$0.072 (-74%)**

Source ↗

manuel jhair • @jhair052
X • Nov 17, 2025

“They’re not selling, they’re locking… This is insanely bullish!”

Then **$0.20** → now **low $0.022 (-89%)**

Source ↗

DigitalCoinPrice
forecast site, via Edaface • Oct 14, 2026

“$2.87 in 2026”

Then **$0.077** → now **needs 40× in 2.5 months**

Source ↗

We’re not mocking anyone: price calls are almost always wrong. That’s why this breakdown sticks to numbers and scenarios.

“Then” prices — CoinGecko on the publication date. We don’t use authors’ photos without permission

Influencer myths vs facts

“BTCFi will take 1–10% of bitcoin — STRK 100×”

All of BTCFi is ~0.46% of bitcoin. Starknet staking holds 591 BTC

“Staking will lock up selling”

21% staked didn’t prevent the drop to $0.022. Rewards are minted and sold

“BTC whales are the backbone”

They left with the rewards: –66% staked BTC since December

“L1 move = pump”

The vote only starts research. Migrating is years of work and a risk for bridges

“Privacy like Zcash”

It works, but with keys for regulators. And there’s no usage data yet

“Eli is a genius, so it’ll pump”

A strong team didn’t save STRK from –98%. Tech ≠ token price

Myths from the January community research; facts as of Oct 17, 2026

Three scenarios to the end of 2027

BEAR

- L1 stalls, BTCFi doesn’t come back
- the foundation sells reserves
- market cap $200–300M
- **STRK ≈ $0.025–0.035**

BASE

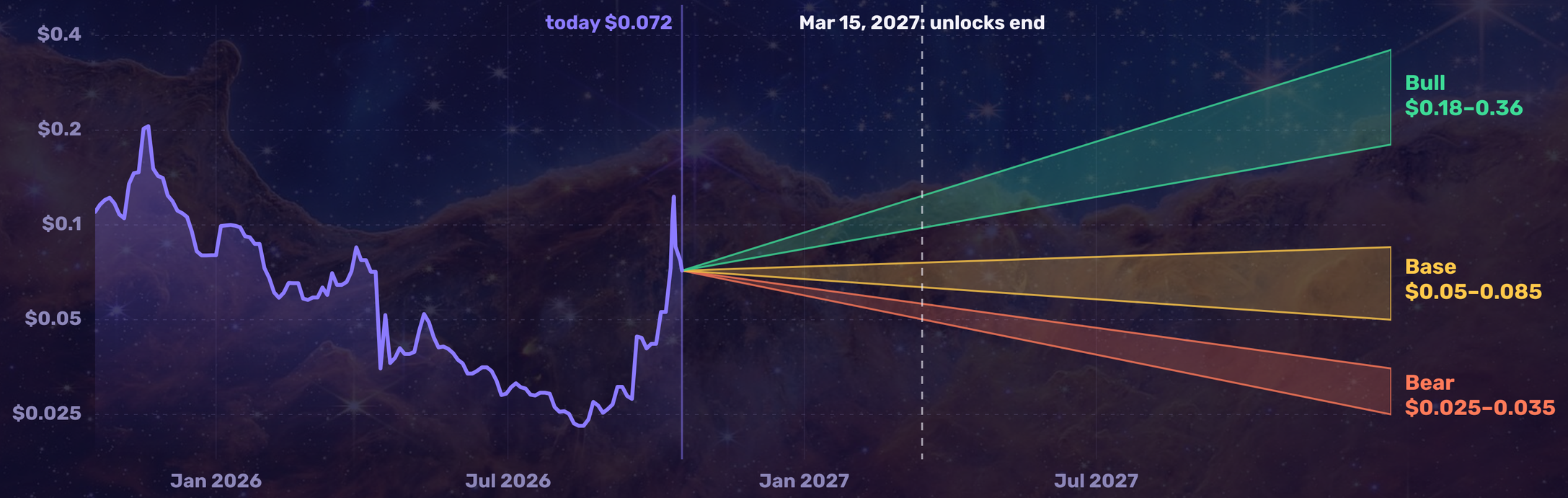
- unlocks end in March 2027
- fees and activity roughly as now
- market cap $400–700M
- **STRK ≈ $0.05–0.085**

BULL

- L1 and quantum safety go to plan
- STRK20 and strkBTC gain real volume, alt season
- market cap $1.5–3B
- **STRK ≈ $0.18–0.36**

Prices assume ~8.35B STRK circulating after March 2027. Illustration, not a forecast

Scenarios on a chart: where STRK could go



Not a forecast — these are the corridors from the scenarios above. The further out, the wider the spread.

History — CoinGecko; corridors — our scenarios at ~8.35B STRK circulating; log scale

STRK price at different market caps

Price = market cap ÷ token count. We use ~8.35B (after the March unlocks) and the full 10B

Market cap	at 8.35B	at 10B	× vs today
$250M	$0.030	$0.025	×0.4
$546M (today)	**$0.065**	**$0.055**	**×0.9**
$1B	$0.12	$0.10	×1.7
$2B	$0.24	$0.20	×3.3
$5B	$0.60	$0.50	×8.3
$8.35B	$1.00	$0.84	×14

Getting back to $4.41 means a ~$37B valuation — more than almost all L2s combined today.

Today’s price is $0.072 with 7.59B circulating. “×” compares the 8.35B price with today’s $0.072. Arithmetic, not a forecast

What to watch

October 22

The L1 vote result and next steps: plan, timeline, what happens to the bridge

Vote on Snapshot ↗

The 15th

127M unlocks until Mar 15, 2027. Watch how price reacts on those days

Unlock schedule — Tokenomist ↗

Foundation reserves

~1.65B STRK with no schedule. Any moves to exchanges are a red flag

Allocation — Tokenomist ↗

Network fees

~$18K a day now. A multiple jump would be the first sign of real demand

Fees — DefiLlama ↗

Privacy

Whether volume numbers appear for STRK20 and strkBTC

Privacy updates — starknet.io ↗

Concentration

2 apps = 91% of transactions, 1 exchange = 74% of DeFi money. Losing one hurts

Activity — growthepie ↗

Sources: The Block, CryptoTicker, Tokenomist, growthepie, Nansen, DefiLlama

Bottom line

1. The tech is strong: STARKs, STRK20 privacy and a head start on quantum safety are real advantages.
2. The economics are weak: ~$6.5M a year in fees against a $546M market cap, and BTCFi left with the rewards.
3. Key dates: the L1 vote (Oct 22) and the end of scheduled unlocks (Mar 15, 2027). After that, supply pressure drops about 10×.

NOT FINANCIAL ADVICE

This breakdown uses public data as of Oct 17, 2026 and simplified math. Crypto is very volatile: you can lose everything you put in. Make your own decisions.

Sources: DefiLlama, CoinGecko, Tokenomist, growthepie, Nansen, starknet.io, Starknet forum, The Block, CryptoTicker, BeInCrypto, ForkLog, Odaily, Spark Research, the original community research (Jan 2026)